

YOUR COMPANY

ADDRESS

PHONE · EMAIL · LICENSE

Letter of intent

LOI- _____

TO (SUBCONTRACTOR)

PROJECT

OWNER / PRIME CONTRACT

This letter confirms our intent to award you the subcontract described below, subject to the execution of a formal subcontract agreement and the conditions listed. It is issued so that you can hold your price and begin the early work authorized in paragraph 2.

1 · AWARD

scope, price and basis

SCOPE OF WORK — bid date, drawings and specs, key inclusions and exclusions

SUBCONTRACT PRICE

PRICE BASIS

☐ Lump sum ☐ Unit prices ☐ Guaranteed maximum ☐ Time and materials

2 · EARLY-WORK AUTHORIZATION

optional — leave blank if no work is released

NOT-TO-EXCEED AMOUNT

WORK RELEASED BEFORE THE SUBCONTRACT IS SIGNED

SCHEDULE AND CONDITIONS

ANTICIPATED START

SUBSTANTIAL COMPLETION

FORMAL SUBCONTRACT BY

ACCEPT THIS LETTER BY

Required before work under the subcontract begins:

- ☐ Formal subcontract signed by both parties
- ☐ Certificates of insurance and endorsements
- ☐ Payment and performance bonds

- ☐ Schedule of values approved
- ☐ Baseline schedule and manpower plan
- ☐ Contractor license and registrations verified

TERMS

- Intent only.** Except for paragraphs 2 through 4, this letter is a statement of intent, not a subcontract, and does not bind either party to enter into one. Either party may decline to sign the formal subcontract without liability, other than as stated in paragraph 2.
- Early-work authorization.** You are authorized to perform only the early work described above, and only up to the not-to-exceed amount. We will pay your documented cost of that work plus the markup in your bid, up to that amount, whether or not the formal subcontract is signed; you will deliver the work product and materials paid for. Work beyond the not-to-exceed amount requires our written increase.
- Formal subcontract governs.** When signed, the formal subcontract supersedes this letter. Early work becomes part of the subcontract work, and amounts paid under paragraph 2 are credited against the subcontract price.
- Expiration.** This letter lapses if you have not accepted it by the date stated above, or if the formal subcontract is not signed by the date stated, unless both parties extend it in writing.

Issued and accepted

Signed by authorized representatives. The subcontractor's signature accepts the early-work authorization and confirms the price and scope above.

Contractor · general contractor

Subcontractor · accepted by

SIGNATURE

SIGNATURE

PRINTED NAME AND TITLE

DATE

PRINTED NAME AND TITLE

DATE

General-purpose form, not legal advice. Whether a letter of intent is binding depends on its wording and on how the parties act on it, and the law differs by state. Keep early-work authorizations narrow and capped, and have a construction attorney review the letter before you sign or issue it.